There are two basic market forecasting methodologies discussed in this chapter. The first method is a risk-adjusted return model that relies on historical price volatility in part to forecast the future performance of various asset classes relative to one another. The second method is an economic top-down model that relies on a long-term forecast of gross domestic product (GDP) to forecast various asset-class returns.

Forecasting a market's future return always involves the analysis of historical risk and return. While history does not repeat itself exactly, it casts a long shadow. There are important lessons to be learned from a study of economic history. Forecasting requires the confidence to extend some of those past characteristics into the future.

Analysis of market returns requires a long-term perspective. The past 30 years ending in 2009 have been generous to U.S. stock and bond investors despite a difficult equity environment over the past decade. The annualized return from stocks was approximately 11.2 percent between 1980 and 2009. During the same period the compounded return on the five-year Treasury bond was over 8.4 percent. Inflation was 3.5 percent during the period, meaning that the real return from stocks was over 7 percent and the real return from intermediate bonds was close to 5 percent.

Although the last 30-year period was profitable for stock and bond investors, there is little chance of those returns or better happening over the next 30 years. In fact, based on current economic conditions, the returns on U.S. stocks and bonds are likely to be considerably less than those during the 1980–2009 period, assuming that inflation remains low. The inflation rate was double digits in 1980, and it is in low single digits today. Accordingly, double-digit interest rates in 1980 have dropped to less than 3 percent today. Stock performance going forward will not be as high as it was in the past 30 years because inflation is a large factor in long-term market returns. High starting inflation means higher nominal returns, and low starting inflation means lower nominal returns. A realistic and conservative return for stocks over inflation is 5 percent annually.

MODEL 1: RISK-ADJUSTED RETURNS

The risk-adjusted return model relies on historical market volatilities to forecast the relative future performance for various asset classes. Market returns can vary considerably over different periods of time, although the